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Trump says he'll
announce
semiconductor and chip
tariffs

The semiconductor industry's rollercoaster year continued with another major development.

President Donald Trump said on [CNBC's Squawk Box](#) on Tuesday that his administration is planning to announce tariffs on semiconductors and chips as soon as next week. However, the specifics of these tariffs remain unclear.

Such tariffs could cause quite a disruption for U.S. hardware and AI companies. When the [U.S. CHIPS and Science Act](#) was signed in 2022 — providing \$52 billion in subsidies to boost domestic chip manufacturing — the U.S. produced only about [10% of global chips](#). Despite this small manufacturing footprint, more than [half of global semiconductor companies](#) are headquartered in the U.S.

Since then, some progress has been made toward boosting domestic chip manufacturing. Both [Intel](#) and Taiwan Semiconductor Manufacturing Company ([TSMC](#)) have received funding from the CHIPS Act. TSMC has also committed to spending [“at least” \\$100 billion](#) over the next four years on chip manufacturing plants in the U.S.

But setting up chip manufacturing plants takes time. Intel recently announced it was [delaying construction](#) on its Ohio chip manufacturing facility, [again](#), highlighting the challenges of rapidly scaling up production.

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The tariff announcement comes as the industry awaits the administration's decision on AI chip export restrictions — rules that control which countries can purchase advanced semiconductors used in AI systems.

The Trump administration [formally rescinded](#) the Biden administration's chip AI export rules in May. Those rules had established a country-specific, multi-tier approach to restricting chip exports based on national security concerns. The Trump administration then released its [AI Action Plan](#) in July, which emphasized the need for the U.S. to implement chip export restrictions but was light on the details of what that could look like.

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According to reporting from Semafor citing industry sources, the Trump administration is now [debating whether or not it should go through with its plan](#) to rescind and replace Biden's AI export rules.

For more on the semiconductor industry's tumultuous year, we've compiled a [regularly](#)

[updated timeline](#) of market news since the beginning of 2025.

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As Intel welcomes a new CEO, a look at where the company stands



semiconductor giant Intel hired [semiconductor veteran Lip-Bu Tan](#) to be its new CEO. This news comes three months after [Pat Gelsinger retired](#) and stepped down from the company's board, with Intel CFO David Zinsner and executive vice president of client relations Michelle Johnston Holthaus stepping in as co-CEOs.

Tan, who was most recently the CEO of Cadence Design Systems, is joining Intel — and rejoining the board — at an interesting time in the Silicon Valley company's history. Intel has seen its fair share of ups and downs in the past few years — to put it mildly.

When Gelsinger took the helm in February 2021, Intel was already struggling and was falling far behind its peers in the semiconductor race. At the time, the company was likely still reeling from [missing out on the smartphone revolution](#) in addition to missteps when it came to chip fabrication.

It was also an interesting time for the semiconductor industry at large. The sector had seen a lot of recent consolidation in late 2020, including [AMD acquiring Xilinx](#) for \$35 billion and [Analog buying Maxim](#) for \$21 billion, among others.

So how was Gelsinger's most recent tenure at Intel? Let's take a look.

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Gelsinger got right to work when he started. He announced a modernization plan for the company, [dubbed IDM](#), or integrated device manufacturing. The first part of the goal was a \$20 billion investment to build two new chip manufacturing facilities in Arizona, with plans to boost chip production in the U.S. and beyond.

In 2022, the company announced the second part of this IDM plan, which involved a three-pronged approach to chip manufacturing: Intel's fabs, third-party global manufacturers, and building out the company's foundry services. As part of this plan, the company announced it would [acquire Tower Semiconductor](#) for \$5.4 billion to help build out Intel's custom foundry services.



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That deal fell through, however, after facing regulatory hurdles. It was canceled in the summer of 2023. At the time, TechCrunch [reported](#) that the merger not going through would have a serious impact on the company's modernization plans. In

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September 2024, [Intel took steps to transition its chip foundry division](#), Intel Foundry, to an independent subsidiary.

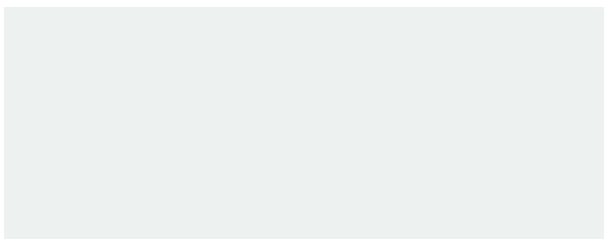
The time leading up to Gelsinger's retirement was particularly tumultuous for Intel. The company's stock price plummeted about 50% from the beginning of 2024 to Gelsinger's departure in December. Intel announced plans to [lay off 15% of its workforce](#), around 15,000 people, in August after dismal second-quarter results. At that time, Gelsinger said the company had struggled to capitalize on the AI boom in the same way its rivals had, and that despite falling behind, Intel had overgrown headcount.

In the time since Gelsinger's departure, the company has [delayed the opening of its Ohio chip factory](#) — again — and decided not to bring its [Falcon Shores AI chips](#) to market.

But as Tan takes the lead, things may be starting to head in the right direction. Intel finalized a deal with the U.S. Department of Commerce to receive a [\\$7.865 billion grant](#) for domestic semiconductor manufacturing through the U.S. Chips and Science Act; Intel has already received [\\$2.2 billion of that grant money](#), according to its fourth-quarter earnings call. The company was also able to notch a win when it comes to the popularity of its Arc B580 graphics card, which sold out after [positive early reviews](#).

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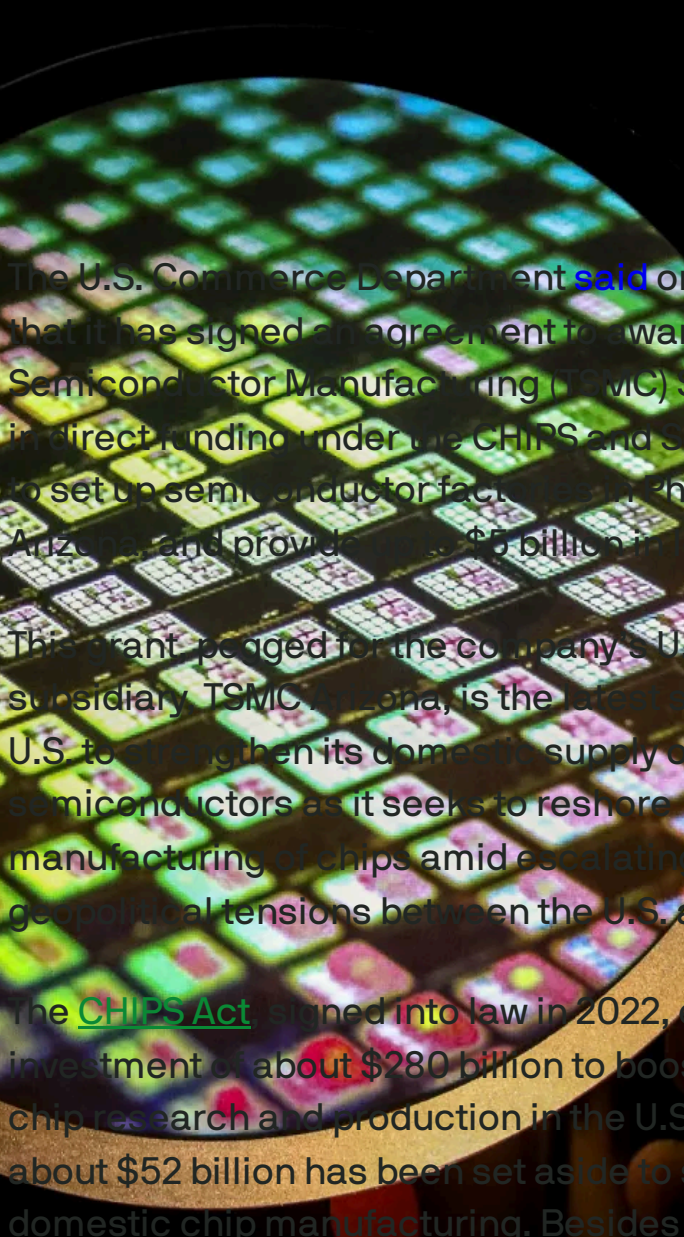
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US to award TSMC \$6.6B
in grants, \$5B in loans to
step up chip
manufacturing in Arizona



The U.S. Commerce Department **said** on Monday that it has signed an agreement to award Taiwan Semiconductor Manufacturing (TSMC) \$6.6 billion in direct funding under the CHIPS and Science Act to set up semiconductor factories in Phoenix, Arizona, and provide up to \$5 billion in loans.

This grant, pending for the company's U.S. subsidiary TSMC Arizona, is the latest step by the U.S. to strengthen its domestic supply of semiconductors as it seeks to reshore manufacturing of chips amid escalating geopolitical tensions between the U.S. and China.

The **CHIPS Act**, signed into law in 2022, earmarks an investment of about \$280 billion to boost domestic chip research and production in the U.S., of which about \$52 billion has been set aside to subsidize domestic chip manufacturing. Besides national security concerns arising from semiconductors primarily being made in Asia, a big motivator for the U.S. is to diversify the production of semiconductors, and bring more electronics production to the West. The Act is primarily aimed at attracting manufacturing stateside, and also prohibits recipients of the funding from increasing their semiconductor manufacturing footprint in China.

With the new investment, Taiwan-based TSMC, which is the world's largest producer of semiconductors, is broadening its plans for its fabrication plants in Arizona. The company said it would build a third fabrication unit in addition to the two being built right now, and will manufacture 2-nanometer or more advanced chips. The company

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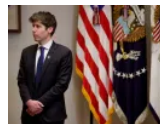
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had previously said it would invest [about \\$40 billion](#) to set up plants in the U.S.

TSMC said its first fab unit is slated to begin producing chips under the 4nm process in the first half of 2025; the second factory will produce 3nm and 2nm chips from [2028](#); and the third plant will start manufacturing 2nm and more advanced chips near the end of the decade.

TSMC is investing more than \$65 billion via these projects in the U.S., and the company said in a statement that the investment makes this the largest ever direct investment by a foreign entity in a greenfield project in the U.S.

TSMC Arizona will sell its chips to its U.S. customers, which include AMD, Apple, Nvidia and Qualcomm. The company expects the three fab units to create approximately 6,000 direct high-tech, high-wage jobs, and more than 20,000 construction jobs.

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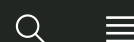
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Intel [could receive approximately \\$20 billion in grants and loans](#) from the CHIPS and Science Act for its semiconductor manufacturing. Meanwhile, Samsung, [which announced a \\$17 billion additional investment](#) in Taylor, Texas, [is expected to receive more than \\$6 billion in grants](#) for its chip facility in Texas.

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Kate Park
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TSMC to build a \$12 billion advanced semiconductor plant in Arizona with US government support

Catherine Shu — 8:22 PM PDT · May 14, 2020

[Taiwan Semiconductor Manufacturing Co.](#), the world's largest contract semiconductor foundry, [said today](#) that it plans to build an advanced chip foundry in Arizona with support from the state and the United States federal government.

IMAGE CREDITS: [SOPA IMAGES](#) / GETTY IMAGES

The announcement follows a [Wall Street Journal report](#) earlier this week that White House officials were in talks with TSMC and Intel to build foundries in the U.S., as part of its effort to reduce reliance on chip factories in Asia. Based in Hsinchu, Taiwan, TSMC provides chip components for many of the world's largest semiconductor companies and its U.S. clients include Apple and Qualcomm.

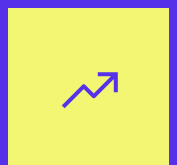
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White House reportedly in talks with Intel, TSMC to build advanced chip foundries in the US



White House officials are talking to Intel and TSMC about building semiconductor foundries in the United States, according to a Wall Street Journal report. U.S. tech companies and the government have been trying to reduce the country's dependence on chip factories in Asia for years, underscored by national security concerns, the U.S.-China tariff war and ... [Continue reading](#)

The plant, scheduled to start production of chips in 2024, will enable TSMC's American customers to fabricate their semiconductor products domestically. It will use the company's 5-nanometer technology and is expected to create 1,600 jobs and have the capacity to produce 20,000 wafers a month.

The U.S.-China trade war, national security concerns, geopolitical unrest and the COVID-19 pandemic have all underscored the shortfalls of relying on foundries located abroad and international supply chains.

The U.S. government has reportedly been in talks with TSMC for months, though one sticking point for the company was the high cost of building a new foundry. TSMC chairman Mark Liu [told the New York Times in October](#) that the project would require major subsidies because it is more expensive to operate a factory in the U.S. than in Taiwan.

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In today's announcement, TSMC said, "U.S. adoption of forward-looking investment policies to enable a globally competitive environment for a leading edge semiconductor technology operation in the U.S. will be crucial to the success of this project."

The company expects to spend about \$12 billion between 2021 and 2029 on the project, with construction slated to begin next year.

TSMC already operates a foundry in Camas, Washington, and has design centers in Austin, Texas and San Jose, California.

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Catherine Shu

Senior Reporter |

Catherine Shu covered startups in Asia and breaking news for TechCrunch. Her reporting has also appeared in the...

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IMAGE CREDITS: INTEL CORPORATION

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Intel has already received \$2.2B in federal grants for chip production

Rebecca Szkutak — 4:12 PM PST · January 30, 2025

Semiconductor giant Intel Corporation has already received \$2.2 billion in federal grants from the U.S. Department of Commerce through the U.S. CHIPS and Science Act, the company shared during its Thursday earnings call.

Dave Zinsner, Intel's co-interim CEO, executive vice president, and CFO, said the Silicon Valley-based company received the first tranche of \$1.1 billion in federal grants at the end of 2024 and an additional \$1.1 billion in January 2025.

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These grants are based on reaching certain milestones, Zinsner added. Another \$5.66 billion has yet to be dispersed.

The company was [awarded a total of \\$7.86 billion in federal grants](#) to build semiconductors in the U.S. in November as part of the U.S. Department of Commerce's U.S. CHIPS and Science Act. While a sizable sum, this total was less than the original \$8.5 billion estimate.

When Intel was awarded its grant money in November, the company said it was planning to put the funds toward manufacturing and advanced packaging, or toward techniques to assemble and integrate multiple semiconductor chips into one package. This will be carried out at Intel facilities across Arizona, New Mexico, Ohio, and Oregon.

The [U.S. CHIPS and Science Act](#) was signed into federal law by former president Joe Biden in 2022 in an effort to increase domestic semiconductor manufacturing. The act set aside \$52 billion in subsidies for domestic chip manufacturers.

While already two years old, the CHIPS Act faces some uncertainty under the Trump administration. If President Donald Trump's federal funding freeze, which is currently being blocked by a federal judge, does go into effect, it would affect the Commerce Department employees focused on the CHIPS Act, according to [Bloomberg reporting](#).

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Zinsner had a rosier outlook, though. When asked by an analyst, he said that Intel has already been in communication with the Trump administration and “feels really good” about the administration’s outlook on bringing semiconductor manufacturing back to the United States.

“We look forward to continued engagement with the Trump administration as we advance this work and support their efforts to strengthen U.S. technology and manufacturing leadership,” Zinsner said earlier on the call.

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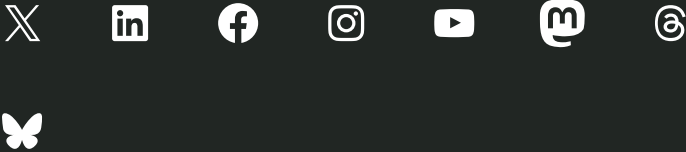
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